bonds), pushing up the dollar and generating a U.S. trade deficit.[75] Chinese government economists and policymakers, in contrast, have claimed that their steady trade surplus with the United States has been driven by the lack of U.S. competitiveness. In China's view, the U.S. savings rate is consistently low and its macroeconomic and fiscal policies irresponsible, especially since the quantitative easing that began in early 2009.[76]

Both the United States and China have each attempted to persuade other major countries and international organizations to line up behind its preferred interpretation. Thus, in August 2007, the IMF announced a U.S.-promoted plan to monitor global imbalances. Countries whose exchange rates demonstrated "fundamental misalignment" would be audited by the IMF. China objected, but it lacked sufficient support to derail the process. China found allies among the BRICs: in early 2009, the four finance ministers called on the IMF to extend its surveillance to the wealthy countries.

By mid-2009, the IMF had responded to the BRICs' pressure to drop the judgmental language on exchange rate levels in its new Article IV guidelines, and in September 2010, the IMF announced mandatory surveillance of "systemically-important countries," including all the members of the large economies in the G20.[77] By late 2010, G20 members Brazil, China, Germany, and Russia (later joined by India and South Africa) each had criticized U.S. monetary expansion, or quantitative easing, as tending to promote currency and trade instability. The communiqué from the 2013 BRICS summit in Durban, South Africa, similarly referred to "unconventional monetary policy actions which have increased global liquidity," noting "unintended consequences . . . which may have negative growth effects on other economies, in particular developing countries."[78] At one level, such international wrangling is not very consequential: the IMF and other international organizations regularly issue communiqués that subsequently are ignored. But the fact that China, backed by the BRICS, has engaged in these subtle battles of economic ideology over multilateral guidelines, persistently and with growing success, is an important indicator of the underlying global power shift.

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The second case of BRICS cooperation in financial statecraft, listed in the lower-left cell in Table 3.2, involves the members' choice to collectively